PRED77136301

For Examiner's Use	
Section	**Mark**
A	
B	
TOTAL	

Predicted Paper — Set A   Afternoon

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- black ink or a black ball-point pen.

Instructions

- Answer all questions.
- Use black ink or a black ball-point pen. Pencil should only be used for drawing.
- Fill in the boxes at the top of this page.
- For Section A, completely fill in the bubble alongside the answer you choose. If you want to change your answer you must cross out your original answer as shown. If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.
- For Section B, you must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- There are 80 marks available on this paper.
- The marks for questions are shown in brackets.
- No deductions will be made for wrong answers.

Please write clearly in block capitals.

Centre number

Candidate number

Surname

Forename(s)

Candidate signature

A-level

ECONOMICS

Paper 3 Economic principles and issues

Section A

Answer all questions in this section.

Only **one** answer per question is allowed.

For each answer completely fill in the circle alongside the appropriate answer.

If you want to change your answer you must cross out your original answer.

If you wish to return to an answer previously crossed out, ring the answer you now wish to select.

0 1 Which one of the following is most likely to shift the demand curve for a normal good to the right?

A A fall in consumer income
B A rise in the price of a complement
C A rise in consumer income
D A rise in the price of the good

[1 mark]

0 2 If the price elasticity of demand for a good is −0.4, the good is best described as

A perfectly elastic.
B relatively elastic.
C unit elastic.
D relatively inelastic.

[1 mark]

0 3 A floating exchange rate that depreciates is most likely to

A reduce the price of imports.

B reduce export competitiveness.

C improve the trade balance over time, subject to the Marshall–Lerner condition.

D reduce imported inflation.

[1 mark]

0 4 Quantitative easing is best described as

A a rise in Bank Rate.

B a central bank purchasing government bonds to increase the money supply.

C a reduction in government spending.

D an increase in the reserve requirement.

[1 mark]

0 5 Which one of the following best describes price discrimination?

A Charging different consumers different prices for the same good when costs do not differ

B Charging the same price for goods with different costs

C Setting price equal to marginal cost

D Setting price below marginal cost

[1 mark]

0 6 An economy operating inside its production possibility frontier indicates

A productive efficiency.

B allocative efficiency.

C unemployed or underused resources.

D rapid economic growth.

[1 mark]

0 7 Government failure is most likely to occur when

A markets work efficiently.
B government intervention causes a misallocation of resources greater than the original market failure.
C there are perfect-competition conditions.
D public goods are provided.

[1 mark]

0 8 An import tariff will most likely

A reduce the domestic price of imports.
B increase the domestic price of imports and reduce import volumes.
C increase exports.
D have no effect on the trade balance.

[1 mark]

0 9 An increase in the natural rate of unemployment is most likely caused by

A a rise in skills mismatches between unemployed workers and vacant jobs.
B a cut in interest rates.
C an increase in aggregate demand.
D a rise in the working population.

[1 mark]

1 0 Which one of the following is most likely to reduce inequality of income?

A A cut in the top rate of income tax
B An increase in the National Living Wage
C A reduction in inheritance tax
D A regressive sales tax

[1 mark]

1 1 A firm employs three factors of production: capital, land and labour. The table below shows how the firm's output is affected by changing the amount employed of these factor inputs.

Units of output	**Units of capital**	**Units of land**	**Labour (Number of workers)**
500	20	40	60
1000	80	160	240
2000	140	280	420
3000	210	420	630
4000	300	580	860

The firm experiences increasing returns to scale when it increases its output from

A 500 to 1000 units. ☐
B 1000 to 2000 units. ☐
C 2000 to 3000 units. ☐
D 3000 to 4000 units. ☐

[1 mark]

1 2 The table below shows the total cost and total revenue for a firm at different output levels.

Output (units)	**Total cost (£)**	**Total revenue (£)**
0	50	0
10	120	100
20	170	200
30	240	300
40	340	400
50	470	500

The firm maximises profit at an output of

A 10 units. ☐
B 20 units. ☐
C 30 units. ☐
D 40 units. ☐

[1 mark]

1 3 The table below shows the index of real GDP per head for a country.

Year	**Index (2019 = 100)**
2019	100
2020	90
2021	95
2022	100
2023	102
2024	104

The percentage change in real GDP per head between 2019 and 2024 was

A +2% ☐
B +4% ☐
C +5% ☐
D +10% ☐

[1 mark]

1 4 The table below shows possible differences between the meanings of the terms invention and innovation. Which combination, A, B, C or D, correctly identifies the difference between the meanings of these terms?

	Invention	**Innovation**
A	Applies to changes in goods only	Applies to changes in services only
B	Applies to changes in services only	Applies to changes in goods only
C	Discovering something entirely new	Turns the results of invention into a product
D	Turns the results of innovation into a product	Discovering something entirely new

A A ☐
B B ☐
C C ☐
D D ☐

[1 mark]

1 5 The table below shows economic data for four countries.

Country	**GDP growth (%)**	**Inflation (%)**	**Unemployment (%)**	**Current account (% of GDP)**
W	3.2	1.8	4.5	+1.2
X	0.5	6.4	8.1	−3.8
Y	2.1	2.0	5.2	−0.5
Z	−0.3	0.4	9.6	+4.1

The country most likely experiencing a deflationary gap with significant spare capacity is

A Country W.

B Country X.

C Country Y.

D Country Z.

[1 mark]

1 6 The table below shows the marginal private cost (MPC), marginal social cost (MSC) and marginal social benefit (MSB) of producing palm oil at different output levels.

Output (tonnes)	**MPC (£)**	**MSC (£)**	**MSB (£)**
100	40	55	80
200	50	70	70
300	60	85	60
400	70	100	50

The socially optimal level of palm oil output is

A 100 tonnes. ☐
B 200 tonnes. ☐
C 300 tonnes. ☐
D 400 tonnes. ☐

[1 mark]

1 7 The table below shows the price, income and cross elasticities of demand for three goods.

Good	PED	YED	XED with Good B
A	−0.3	+2.1	+0.8
B	−1.8	+0.4	—
C	−0.6	−0.5	−1.2

Which one of the following statements is correct?

A Good A is a price-elastic luxury and a substitute for Good B.

B Good A is a price-inelastic luxury and a substitute for Good B.

C Good C is a normal good and a complement to Good B.

D Good B is a price-inelastic necessity.

[1 mark]

1 8 The table below shows data for a monopolist at different price levels.

Price (£)	Qty demanded	Total revenue (£)	Marginal revenue (£)	Marginal cost (£)
20	10	200	—	4
18	20	360	16	6
16	30	480	12	8
14	40	560	8	10
12	50	600	4	12
10	60	600	0	16

The profit-maximising monopolist would set output between

A 10 and 20 units. ☐
B 20 and 30 units. ☐
C 30 and 40 units. ☐
D 50 and 60 units. ☐

[1 mark]

1 9 The table below shows the percentage shares of income by quintile group for Country X before and after government intervention.

Quintile	**Market income share (%)**	**Post-tax/transfer income share (%)**
Bottom 20%	2	8
Second 20%	8	13
Third 20%	16	18
Fourth 20%	26	24
Top 20%	48	37

Based on the table, which one of the following can be correctly concluded?

A The Gini coefficient after government intervention is higher than before. ☐

B Government intervention has made the distribution of income more equal, reducing the Gini coefficient. ☐

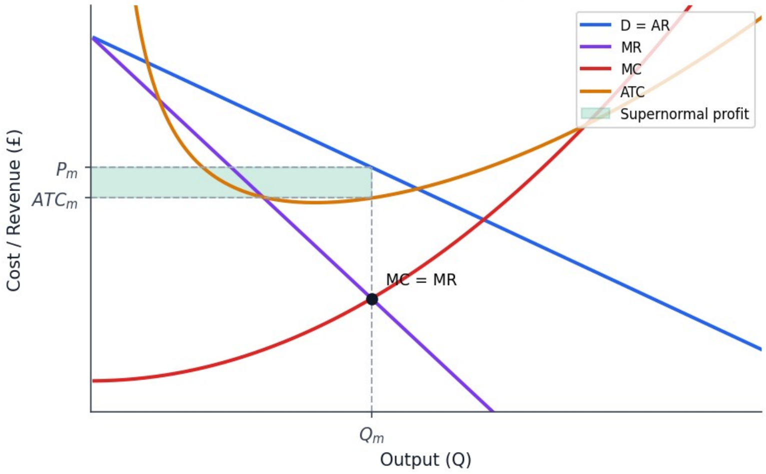
C The bottom 40% of the population now receives more than 50% of total income. ☐

D The tax and transfer system is regressive. ☐

[1 mark]

2 0 The diagram below shows the cost and revenue curves for a monopolist. The monopolist's profit-maximising output is determined where

Figure 1 Monopoly Profit Maximisation



A MC = AC.

B MC = MR.

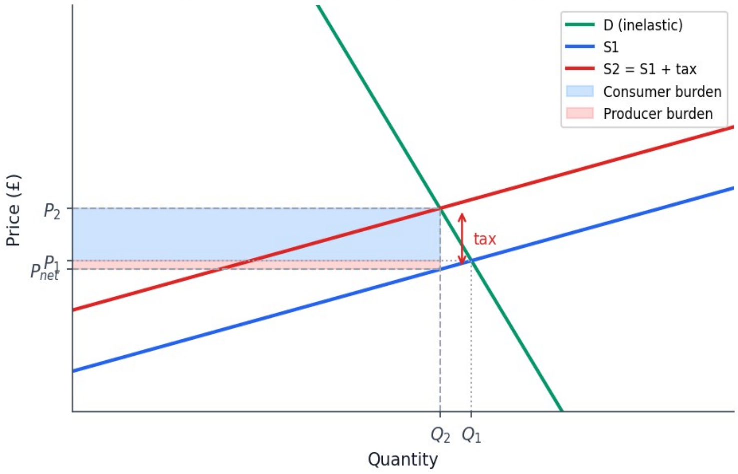
C AR = AC.

D AR = MR.

[1 mark]

2 1 The diagram below shows the incidence of a specific indirect tax on a good with relatively inelastic demand. The greater part of the tax falls on

Figure 2 Incidence of a Specific Indirect Tax (Inelastic Demand)

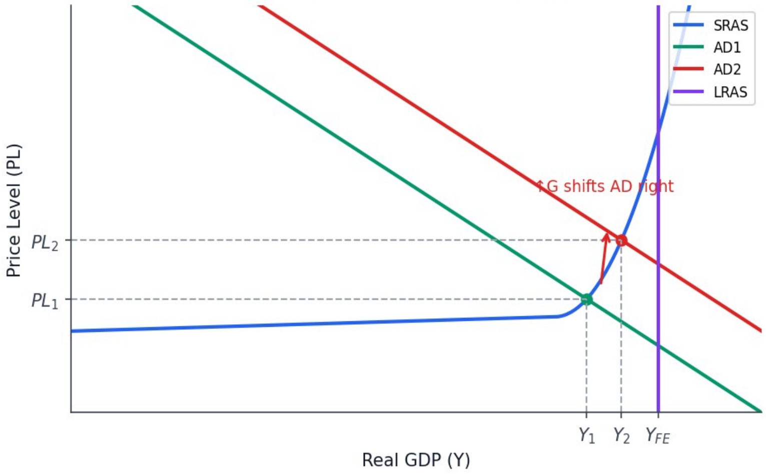


A producers.
B consumers.
C the government.
D workers.

[1 mark]

2 2 The diagram below shows an economy operating with significant spare capacity. An increase in aggregate demand from AD_1 to AD_2 will most likely

Figure 3 AD/AS with Spare Capacity



A increase output and the price level significantly.

B increase output significantly with little change in the price level.

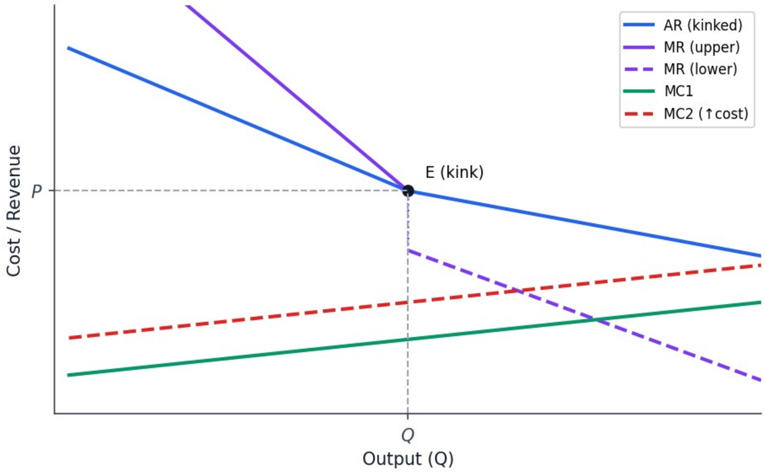
C increase the price level with no change in output.

D reduce output and the price level.

[1 mark]

2 3 The diagram below shows the kinked demand curve for a firm in an oligopolistic market. A feature of the market shown is

Figure 4 Kinked Demand Curve (Oligopoly)

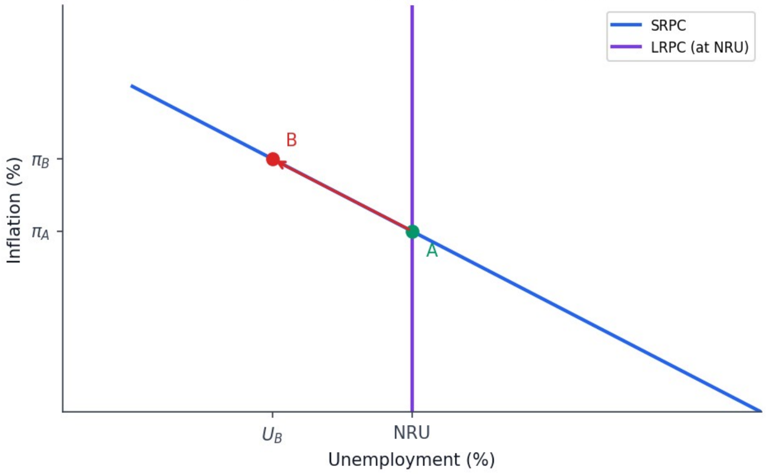


A price flexibility above the kink.
B price rigidity at the kink.
C price flexibility below the kink.
D perfectly elastic demand throughout.

[1 mark]

2 4 The diagram below shows a short-run Phillips curve (SRPC). Which one of the following is most consistent with the relationship shown?

Figure 5 Short-Run Phillips Curve

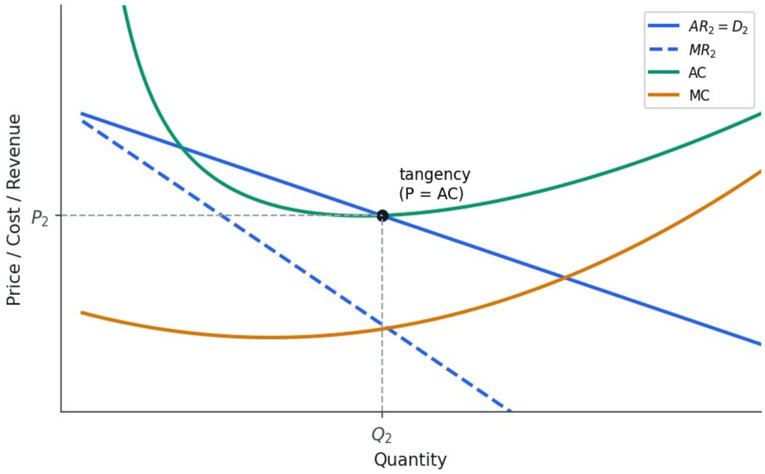


A Inflation and unemployment rise together.
B Inflation falls as unemployment falls.
C Inflation rises as unemployment falls.
D Inflation and unemployment are unrelated.

[1 mark]

2 5 The diagram below shows a firm in monopolistic competition in long-run equilibrium. In this equilibrium, the firm earns

Figure 6 Monopolistic Competition: Long-Run Equilibrium



A supernormal profit because P > AC.

B normal profit because P = AC at the profit-maximising output.

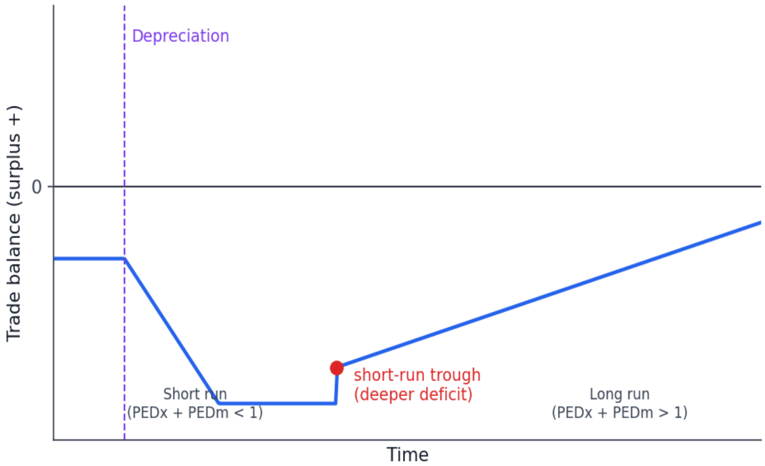
C a loss because MC > MR at Qm.

D supernormal profit because MR = MC.

[1 mark]

2 6 The diagram below illustrates the J-curve effect that may follow a currency depreciation. The short-run worsening of the trade balance shown is best explained by

Figure 7 J-curve & Marshall–Lerner Effect



A export and import volumes adjusting instantly to the new exchange rate. ☐

B import and export demand being price-inelastic in the short run (PEDx + PEDm < 1). ☐

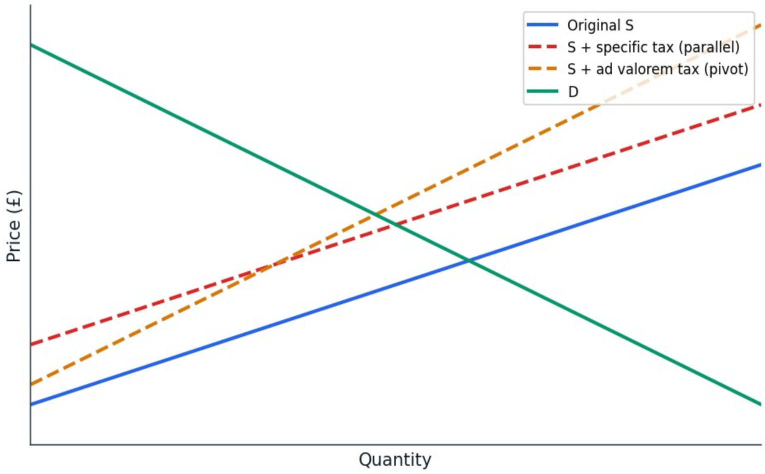
C an immediate fall in the domestic price level. ☐

D the Marshall–Lerner condition being satisfied in the short run. ☐

[1 mark]

2 7 The diagram below compares the effect on the supply curve of a specific (per-unit) tax and an ad valorem (percentage) tax. Which one of the following statements correctly contrasts the two taxes?

Figure 8 Specific Tax vs Ad Valorem Tax



A Both shift supply by a constant absolute amount per unit. ☐

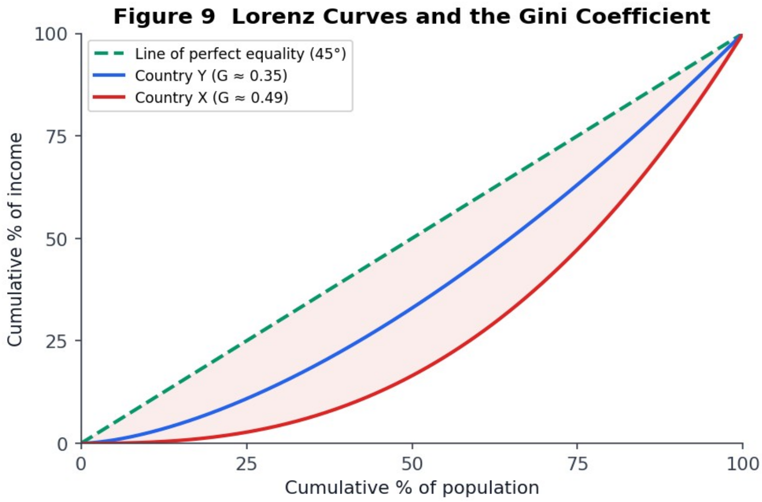
B A specific tax shifts S parallel; an ad valorem tax pivots S so the gap widens at higher prices. ☐

C An ad valorem tax shifts S parallel; a specific tax pivots S. ☐

D Neither tax changes the slope of the supply curve. ☐

[1 mark]

2 8 The diagram below shows Lorenz curves for two countries, X and Y, together with the line of perfect equality. Which one of the following statements is correct?



A Country Y has a lower Gini coefficient than Country X. ☐

B Country X has a lower Gini coefficient than Country Y. ☐

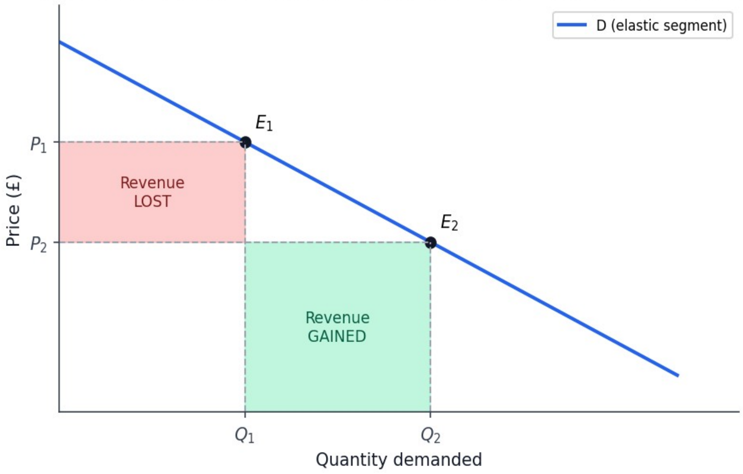
C Both countries have a Gini coefficient of zero. ☐

D The Gini coefficient cannot be inferred from a Lorenz curve. ☐

[1 mark]

2 9 The diagram below shows a linear demand curve, with E_1 and E_2 lying on the elastic segment. Along this segment, a rise in price will most likely

Figure 10 PED and Total Revenue along a Linear Demand Curve



A reduce total revenue because quantity falls more than price rises. ☐

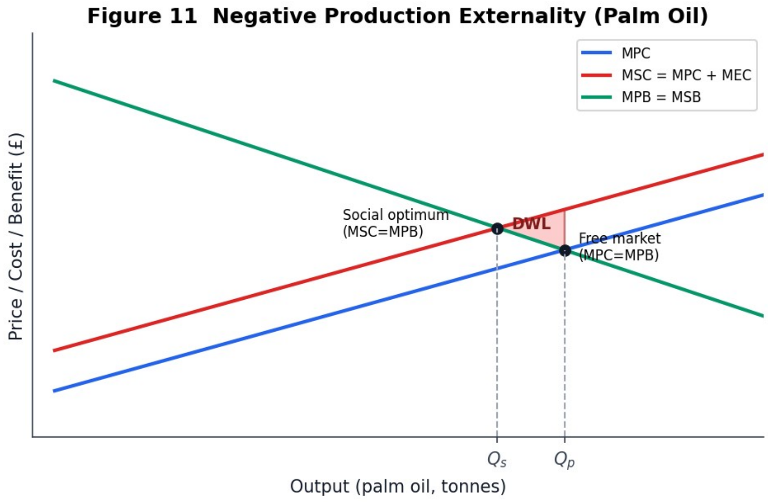
B increase total revenue because quantity falls proportionally less than price rises. ☐

C leave total revenue unchanged. ☐

D increase total revenue only if demand is perfectly elastic. ☐

[1 mark]

3 0 The diagram below shows the marginal private cost (MPC), marginal social cost (MSC) and marginal private benefit (MPB, which equals MSB) of palm-oil production. The deadweight welfare loss is represented by the triangular area between



A MPC and MPB from 0 to Qp.

B MSC and MPB from Qs to Qp.

C MSC and MPC from 0 to Qs.

D MPB and MSC from 0 to Qp.

[1 mark]

Section B

Investigation

Answer all three questions in this section.

Total for this Investigation: 50 marks

Study Extracts A to D (presented on the following pages), then answer all three questions.

Theme: Productivity, regional inequality and green growth in the UK.

Extract A

Selected UK economic indicators, 2010–2024 (adapted from ONS, 2024)

The table below summarises selected UK macroeconomic indicators relevant to the assessment of living standards.

Year	Real GDP per head (£, 2019 prices)	Output per hour (2019 = 100)	Real median wage (£/hr)	Gini (income)
2010	28,900	95.2	14.80	0.34
2014	29,600	96.8	14.60	0.35
2018	31,100	99.1	14.95	0.36
2019	31,400	100.0	15.10	0.36
2022	31,800	100.9	14.70	0.37
2024	32,050	101.6	14.95	0.37

Source: adapted from ONS Labour Productivity and Household Finance bulletins (2024).

Extract B

The UK productivity puzzle: fifteen years of flat output per hour

Between 2010 and 2024, UK labour productivity grew by barely 0.4% per year on average — less than a third of the rate achieved in the pre-crisis decade. Economists have labelled this the ‘productivity puzzle’. Multiple explanations have been offered: chronic under-investment in physical and digital capital, persistent skills shortages, a long tail of low-productivity firms, and the drag from Brexit-related trade frictions.

Business investment as a share of GDP has consistently run below the G7 average. Public investment has been volatile, with repeated cuts to capital budgets after 2010 being followed by uneven increases in the 2020s. Research by the National Institute of Economic and Social Research argues that without a sustained boost to the capital stock — both public and private — real wages will struggle to rise meaningfully, and the convergence of UK living standards with those in comparable economies will stall.

A further dimension is regional. Productivity in London and the South East remains roughly 40% above the UK average, while large parts of the North and the Midlands sit 15–20% below it. This gap is reflected in real wages, employment rates and life expectancy.

Extract C

North–South divide: evidence on regional inequality

Regional inequality in the UK is among the highest in the OECD. The ten most-productive local-authority areas — almost all in London and the Home Counties — have a GVA per hour worked more than double that of the ten least-productive areas. Unemployment rates in the North East and parts of Yorkshire have remained persistently 2–3 percentage points above those in the South East throughout the past decade.

Causes include historic deindustrialisation, persistent under-investment in transport and digital infrastructure, a lack of agglomeration in some regional cities, and the concentration of high-skill business services in London. Policy responses have included enterprise zones, devolved city-region mayoralties, ‘levelling-up’ funds and targeted skills programmes. Evaluations are mixed: some interventions have shown local multiplier effects, while others have been criticised for short time horizons, fragmented governance and deadweight spending.

Supply-side economists argue that tackling regional inequality requires coordinated action on both the demand side (infrastructure spending, targeted fiscal stimulus) and the supply side (education, housing, planning reform). Others stress that without macro-stabilisation — keeping inflation, interest rates and the exchange rate broadly stable — micro-level interventions will have only limited traction.

Extract D

Green infrastructure: central pillar of growth or expensive gamble?

Proponents of a large-scale green infrastructure programme argue that sustained public investment — in renewable generation, grid modernisation, low-carbon transport, energy-efficient housing retrofits and flood defences — could simultaneously raise productive capacity, reduce regional inequality, cut long-run energy costs, and move the UK decisively towards its legally-binding net-zero target by 2050. Estimates from a consortium of think-tanks suggest that an additional £30–50bn per year of green public investment over a decade could add 1.5–2.0 percentage points to annual real GDP growth and create roughly 400,000 net jobs, many outside London.

Critics counter that the investment case is highly uncertain. Much of the projected return depends on fragile assumptions about technology costs, productivity spillovers and consumer take-up. They also warn of crowding out private investment if financed by borrowing when interest rates are elevated, of delivery risk in sectors with skills shortages, and of distributional effects if the costs of retrofitting fall on low-income households. Some argue that priority should instead be given to education, R&D tax credits and deregulation, all of which — in their view — have a stronger track record of raising productivity at lower fiscal cost.

The government has so far adopted a 'mixed' approach: a medium-scale capital programme combined with loan guarantees, carbon pricing and regulatory standards. The question now facing policymakers is whether to scale this up sharply into the central plank of the UK's growth strategy, or to continue treating it as one of several competing priorities.

3 1 To what extent, if at all, do the data in Extract A and the analysis in Extract B suggest that weak productivity growth is the most important constraint on UK living standards? You must use the data in Extract A to support your assessment.

[10 marks]

3 2 Using Extract C and your own knowledge, explain why microeconomic and macroeconomic policies may both be needed to address regional inequality in the UK. You should use an appropriate diagram in your answer.

[15 marks]

space for diagram

3 3 Taking into account Extract D, and the original evidence presented in Extracts A, B and C, would you recommend that the UK government should prioritise large-scale public investment in green infrastructure as the central pillar of its growth strategy? Justify your recommendation.

[25 marks]

END OF QUESTIONS